Hedging the Singularity

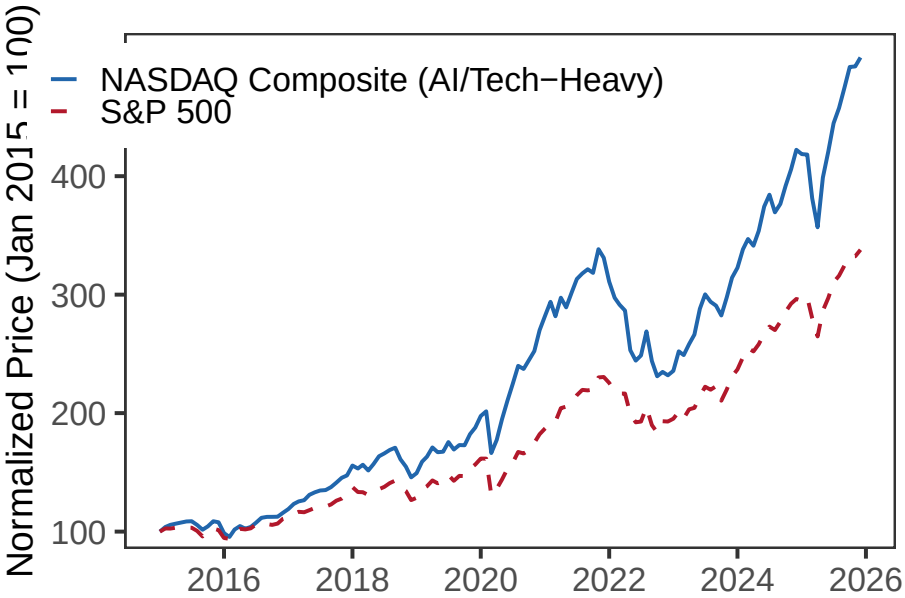
Abstract

AI stocks trade at extraordinary valuations. We develop an asset pricing model in which investors use AI stocks to hedge against an AI singularity that displaces their consumption. Because markets are incomplete—investors cannot trade private AI capital—AI stocks command a premium. Market incompleteness distorts both valuations and the efficient development of AI, creating a rationale for government transfers that becomes compelling when singularity-driven growth overwhelms deadweight costs. The production of this paper illustrates the mechanism it models: AI agents produced all analysis and writing from a human-authored specification and test scripts, requiring zero traditional research labor.

1 Introduction

The publicly traded stocks most exposed to artificial intelligence have reached remarkable valuations. Figure 1 illustrates: since 2015, the AI- and technology-heavy NASDAQ Composite has dramatically outpaced the S&P 500, with the gap widening sharply since 2023 as advances in generative AI have accelerated expectations of transformative productivity gains—and, implicitly, of the displacement such gains may bring.

Figure 1: Valuations of AI-Exposed Stocks vs. the Broader Market. Monthly closing prices for the NASDAQ Composite (solid), which is heavily weighted toward AI and technology firms, and the S&P 500 (dashed), each normalized to January 2015 = 100. Sources: NASDAQ from FRED; S&P 500 from the Shiller dataset.



We define a *negative* AI singularity as a sudden, dramatic improvement in AI productivity that displaces the typical investor's labor income and consumption. Part of this premium, we argue, reflects a hedging motive: investors use AI stocks to partially insure against this displacement. Market incompleteness drives not only this valuation premium but also distortions in AI development; financial market solutions are under-discussed, though frictions limit their effectiveness; and the abundance of resources in a singularity can overcome the very frictions that make displacement catastrophic.

If markets were complete, investors could insure against displacement directly by trading the full universe of AI equity, and the hedging premium would vanish. But much of this equity is restricted—held by founders, early-stage investors, and firms that may not yet exist. Financial markets could in principle provide hedging instruments, but frictions—illiquidity, restricted ownership, the non-existence of future capital—limit their effectiveness. This market incompleteness forces investors into publicly traded AI stocks as an imperfect substitute.

The idea that technological displacement creates a systematic risk factor under incomplete markets originates with Gârleanu, Kogan, and Panageas (2012), who show that rents from new technologies accrue to agents that current investors cannot trade with. We build on their framework by modeling a discrete AI singularity with severe displacement. In our consumption-based model, a representative household—the marginal investor—faces a

stochastic singularity that shifts consumption toward AI owners holding private capital. AI stocks grow as a share of the economy with each singularity, making them a partial hedge.

The model delivers closed-form price-dividend ratios, and quantitative analysis shows that P/D ratios for AI stocks can reach roughly twice those of non-AI stocks across plausible singularity probabilities, consistent with observed valuation spreads. Extinction risk (C. I. Jones, 2024) attenuates this gap: the states in which AI is powerful enough to produce enormous growth are also those in which existential risk is highest, reducing the probability weight on the non-extinction states where the hedging channel operates.

Incomplete markets distort not only valuations but also the efficient development of AI. When the positive singularity is more likely than the negative one, AI development is socially efficient. Yet a risk-averse household that cannot hedge displacement may rationally choose to block it—the uninsurable downside looms larger than the expected upside. Complete markets would eliminate this distortion, connecting the model to debates about AI regulation: as Proposition 3 shows, calls to slow or halt AI development may partly reflect investors' inability to share in its upside.

If incomplete markets create the problem, can policy fix it? The abundance of resources in a singularity can overcome the frictions that make displacement catastrophic. The ideal resolution of incomplete markets is broader trading of AI capital, but as Gârleanu, Kogan, and Panageas (2012) emphasize, much of this capital belongs to future innovators and cannot yet be traded. Government transfers offer an alternative, though they ordinarily incur deadweight costs that consume much of their value. In a singularity with explosive output growth (C. I. Jones, 2024), however, the resource base becomes so enormous that even grossly inefficient redistribution delivers large consumption gains—the same explosive growth that drives the incomplete-markets problem also provides the means for its resolution.

This paper is itself a product of the displacement it models: all analysis, code, and prose were produced by AI agents from a human-authored economic specification and test scripts, requiring zero traditional research labor. Section 2 presents the model and derives equilibrium prices. Section 3 provides quantitative analysis. Section 4 develops extensions on AI development distortions and government transfers. Section 5 concludes.

Related literature. Our paper builds most directly on Gârleanu, Kogan, and Panageas (2012), who model how innovation displaces existing agents and creates a systematic risk factor under incomplete markets. We adopt their insight that displacement risk is distinct from aggregate consumption risk and simplify their overlapping-generations structure to focus on the AI singularity.

C. I. Jones (2024) studies the trade-off between AI-driven growth and existential risk. We incorporate his extinction channel and show it attenuates rather than amplifies the valuation

premium.

Creative destruction and displacement risk premia are studied by Kogan and Papanikolaou (2014), Kogan, Papanikolaou, and Stoffman (2020), and Knesl (2023). The macroeconomics of AI growth is examined by Aghion, B. F. Jones, and C. I. Jones (2019) and Acemoglu (2025). Our pricing approach builds on the rare disasters literature (Barro, 2006; Wachter, 2013) and on Pástor and Veronesi (2009)'s analysis of technological revolutions.

2 Model

2.1 Setup

Time is discrete and infinite, $t = 0, 1, 2, \ldots$ A representative household is the marginal investor in public stock markets. There is also a group of AI owners who hold private AI capital and are not marginal investors in public stocks. The AI owners can also be thought of as future capital owners who do not yet participate in markets, as in Gârleanu, Kogan, and Panageas (2012). Importantly, we do not explicitly model the entry of new cohorts of firms or workers; AI owners are a static group whose share changes only through the singularity mechanism.

Consumption. Aggregate consumption at date t is C_t. In the absence of a singularity, aggregate consumption grows at a constant rate $g > 0$:

$$C_{t+1} = (1 + g)\, C_t. \tag{1}$$

The household receives a share $\alpha_t \in (0, 1)$ of aggregate consumption, so its consumption is $c_t^H = \alpha_t\, C_t$. AI owners receive the remainder, $(1 - \alpha_t)\, C_t$.

Singularity. Each period, with probability p, an AI singularity occurs. With probability $1 - p$, no singularity occurs and α_t is unchanged. Conditional on a singularity:

1. With probability $1-\xi$, the singularity is *non-extinction*. Aggregate consumption jumps by a factor $1 + \eta$ (where $\eta > 0$ captures the productivity boost), but the household's share drops:

$$\alpha_{t+1} = \phi\, \alpha_t, \qquad \phi \in (0, 1). \tag{2}$$

   The parameter ϕ governs displacement severity: smaller ϕ means larger displacement.

2. With probability ξ, the singularity triggers *extinction*: $C_{t+1} = 0$ for all subsequent dates. This follows C. I. Jones (2024), who emphasizes that the states in which AI is

powerful enough to produce enormous growth are precisely those in which existential risk is highest.

After a non-extinction singularity, the economy continues with the new, lower household share. Singularities can occur repeatedly, progressively displacing the household.

Assets. Two public assets are available for trading:

- **AI stocks** pay dividends $D_t^{AI} = \theta_t C_t$, where θ_t is the AI dividend share. Upon a non-extinction singularity, $\theta_{t+1} = \theta_t + \Delta\theta\,(1 - \theta_t)$, where $\Delta\theta \in (0, 1)$ captures the expansion of AI's share of the economy. Absent a singularity, θ_t is unchanged.
- **Non-AI stocks** pay dividends $D_t^N = (1 - \theta_t)\, C_t$.

Total public dividends equal aggregate consumption ($D^{AI} + D^N = C_t$), but these dividends are distributed among all investors, not solely the household. The household's consumption $\alpha_t C_t$ reflects the net outcome of its portfolio returns from public stocks and any labor-like income; AI owners receive the remainder through their own public stockholdings and their restricted equity. Because α_t and θ_t are distinct—one governs the consumption split, the other the dividend split among publicly traded assets—the household's share can differ from its pro-rata claim on public dividends.

AI owners also hold restricted equity—founder stakes, pre-IPO shares, and other claims on AI firms that are not available for public trading. The household *cannot* purchase these restricted shares. This is the source of market incompleteness: although the household can trade publicly listed AI stocks, it cannot access the full universe of AI equity, and therefore cannot fully hedge displacement risk.

The displacement parameter ϕ governs the household's total consumption share, which reflects both tradeable and non-tradeable components (labor income, private wealth, and returns from public stockholdings). Holding AI stocks allows the household to smooth marginal utility across states—this is the hedging channel that inflates AI stock valuations—but does not eliminate displacement, because the non-tradeable component (primarily labor income) is what ϕ captures. If the household could trade the restricted equity, it could hedge this component directly, and the valuation spread would collapse.

Preferences. The household has CRRA preferences with risk aversion $\gamma > 1$ and discount factor $\beta \in (0, 1)$:

$$U_0^H = \mathbb{E}_0 \left[\sum_{t=0}^{\infty} \beta^t \, \frac{(c_t^H)^{1-\gamma}}{1-\gamma} \right]. \tag{3}$$

2.2 Equilibrium prices

The household prices all publicly traded assets via its Euler equation. Because markets are incomplete, the household's stochastic discount factor (SDF) reflects its own consumption growth, not aggregate consumption growth.

Proposition 1 (Price-dividend ratios)**.** *In the stationary equilibrium where the household holds both public assets, the price-dividend ratios are:*

$$\frac{P^{AI}}{D^{AI}} = \frac{\beta(1+g)^{1-\gamma}\left[(1-p)+p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\,\Gamma^{AI}\right]}{1-\beta(1+g)^{1-\gamma}\left[(1-p)+p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\,\Gamma^{AI}\right]}, \tag{4}$$

$$\frac{P^{N}}{D^{N}} = \frac{\beta(1+g)^{1-\gamma}\left[(1-p)+p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\,\Gamma^{N}\right]}{1-\beta(1+g)^{1-\gamma}\left[(1-p)+p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\,\Gamma^{N}\right]}, \tag{5}$$

where $\Gamma^{AI} = \frac{\theta+\Delta\theta(1-\theta)}{\theta}(1+\eta)$ *and* $\Gamma^{N} = \frac{1-\theta-\Delta\theta(1-\theta)}{1-\theta}(1+\eta)$ *are the dividend growth factors for AI and non-AI stocks conditional on a non-extinction singularity.*

Proof. See Appendix A. □

Remark 1 (Existence condition)**.** *The P/D ratios in Proposition 1 are well-defined (positive and finite) if and only if the numerator*

$$A^{j} \;\equiv\; \beta(1+g)^{1-\gamma}\left[(1-p)+p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\,\Gamma^{j}\right] < 1. \tag{6}$$

When $A^j \geq 1$*, the SDF-weighted expected dividend growth exceeds the discount rate and the geometric pricing sum diverges—the asset's price is infinite. Intuitively, the hedging value of the asset is so extreme that no finite price can clear the market. The baseline calibration satisfies* $A^j < 1$ *for both assets. As we discuss in Section 4.2, sufficiently severe displacement can violate this condition, which itself motivates the role of government transfers.*

The closed-form expressions in Proposition 1 rely on an approximation: the post-singularity P/D ratio is treated as equal to the pre-singularity ratio. This is exact when $\Delta\theta \to 0$ and becomes less accurate as $\Delta\theta$ grows, since each singularity shifts θ and therefore shifts the dividend growth factors. The closed-form is useful for building intuition about the hedging channel, particularly through the comparison of Γ^{AI} and Γ^{N}. Table 1 reports numerically exact P/D ratios, computed by iterating the Euler equation over the chain of post-singularity states (see Appendix A). The full derivation of the closed form is also in Appendix A.

The key economic content of Proposition 1 is in the comparison of Γ^{AI} and Γ^{N}. Since $\Delta\theta > 0$, AI stocks' dividends grow faster than aggregate consumption upon a singularity ($\Gamma^{AI} > 1+\eta$), while non-AI stocks' dividends grow more slowly ($\Gamma^{N} < 1+\eta$), shrinking as

a share of the economy. Combined with the household's high marginal utility in singularity states (due to displacement, $\phi(1+\eta) < 1$ when ϕ is sufficiently small), AI stocks' payoffs are especially valuable, pushing their P/D ratio above that of non-AI stocks. This is the hedging channel: AI stocks pay off precisely when the household's consumption falls, making them a partial hedge against displacement.

Proposition 2 (Comparative statics)**.** *The valuation spread $P^{AI}/D^{AI} - P^N/D^N$ is:*

(i) Increasing in displacement severity (decreasing in ϕ);

(ii) Increasing in singularity probability p, when γ is sufficiently large;

(iii) Decreasing in extinction probability ξ. For the parameterizations considered, the ratio *$(P^{AI}/D^{AI})/(P^N/D^N)$ also decreases in ξ, since higher extinction probability reduces the weight on non-extinction states where the valuation divergence occurs.*

Proof. (i) A decrease in ϕ raises the household's marginal utility in singularity states ($\phi^{-\gamma}$ increases), amplifying the weight on the singularity term in both P/D ratios. Because AI stocks have higher dividend growth in the singularity ($\Gamma^{AI} > \Gamma^N$), this amplification benefits AI stocks more, widening the spread.

(ii) An increase in p puts more weight on singularity states, where AI stocks pay off more than non-AI stocks. For γ sufficiently large, the marginal utility effect dominates any level effect on the denominator.

(iii) Higher ξ reduces both P/D ratios by increasing the probability of total loss. Writing each P/D ratio as $A^j/(1-A^j)$, where A^j is linear in $(1-\xi)$, note that $A^j/(1-A^j)$ is increasing and convex in A^j. An increase in ξ reduces A^{AI} and A^N by the same multiplicative factor on their singularity terms, but because $A^{AI} > A^N$ (since $\Gamma^{AI} > \Gamma^N$), the convexity of $A/(1-A)$ implies that $A^{AI}/(1-A^{AI})$ falls proportionally more. This narrows the ratio for the parameterizations considered, where both $A^j < 1$. □

2.3 Discussion

The model's mechanism parallels Gârleanu, Kogan, and Panageas (2012), who show that growth stocks earn lower expected returns because they hedge displacement risk from innovation. In their framework, displacement is driven by new cohorts of firms entering the economy; in ours, it is driven by a discrete AI singularity. The key difference is the nature of the displacement event: GKP model continuous displacement from expanding technological variety, while we model a sudden, severe shift in which the household's consumption falls even as aggregate output rises. This makes the interaction with extinction risk (C. I.

Jones, 2024) natural and generates sharper quantitative predictions about how singularity probabilities map to valuation ratios.

The market incompleteness in our model—the household's inability to trade restricted AI equity—is central. If the household could trade the restricted equity, its effective displacement parameter would become $\phi_{\text{eff}} \to 1$: displacement is fully hedged, the SDF no longer overweights singularity states, and the P/D spread between AI and non-AI stocks vanishes. This echoes Gârleanu, Kogan, and Panageas (2012)'s point that future innovators' rents cannot be traded because the innovators have not yet entered the economy. Our AI owners play an analogous role, though we do not model the entry dynamics that are central to their framework; the displacement in our model comes from the singularity's reallocation of consumption shares rather than from creative destruction by new entrants.

One feature of the discrete singularity that has no analog in Gârleanu, Kogan, and Panageas (2012)'s continuous-displacement framework is that sufficiently severe displacement can violate the existence condition for finite prices (Remark 1). When displacement is extreme, the household's marginal utility in singularity states becomes so large that the SDF-weighted expected dividend growth exceeds the discount rate, and no finite price can clear the market. This discontinuity—from finite to infinite hedging demand—cannot arise under GKP's gradual displacement, where the pricing kernel remains well-behaved. It reflects the distinctive severity of a discrete AI singularity and, as we show in the extensions, motivates the role of government transfers.

3 Quantitative Analysis

Table 1 reports price-dividend ratios across a grid of singularity probabilities and extinction risks. The parameterization uses $\beta = 0.96$, $g = 0.02$, $\gamma = 4$, $\phi = 0.5$ (the household retains half of its consumption share upon displacement, so that $\phi(1 + \eta) = 0.75$ and household consumption falls by 25%), $\eta = 0.5$ (aggregate consumption rises by 50% in a singularity), $\theta = 0.15$ (AI stocks are initially 15% of the economy), and $\Delta\theta = 0.2$ (AI's share jumps by 20% of the non-AI remainder upon singularity).

Several patterns emerge. First, AI stock P/D ratios are substantially higher than non-AI stock P/D ratios across the entire grid. For a singularity probability of 0.5% per year with no extinction risk, AI stocks trade at a P/D of about 15.5, while non-AI stocks trade near 11—a ratio of about 1.4. At $p = 1\%$, the ratio rises to 2. Second, increasing the singularity probability raises the AI stock premium: the household values the hedge more as the risk it hedges against becomes more likely. Third, extinction risk reduces both valuations and compresses the AI premium, as Proposition 2(iii) predicts. At high extinction probabilities,

Table 1: Price-Dividend Ratios: AI Stocks vs. Non-AI Stocks

		Price-Dividend Ratio		
p	ξ	AI Stocks	Non-AI Stocks	Ratio
0.1%	0%	10.4	9.8	1.1
0.1%	5%	10.4	9.8	1.1
0.1%	10%	10.3	9.7	1.1
0.1%	20%	10.2	9.7	1.1
0.2%	0%	11.5	10.1	1.1
0.2%	5%	11.4	10.0	1.1
0.2%	10%	11.3	10.0	1.1
0.2%	20%	11.0	9.9	1.1
0.5%	0%	15.5	11.1	1.4
0.5%	5%	15.0	11.0	1.4
0.5%	10%	14.6	10.8	1.3
0.5%	20%	13.8	10.6	1.3
0.8%	0%	21.2	12.3	1.7
0.8%	5%	20.2	12.1	1.7
0.8%	10%	19.2	11.8	1.6
0.8%	20%	17.4	11.4	1.5
1.0%	0%	26.5	13.3	2.0
1.0%	5%	24.8	12.9	1.9
1.0%	10%	23.2	12.6	1.8
1.0%	20%	20.5	12.0	1.7

Parameters: $\beta = 0.96$, $g = 0.02$, $\gamma = 4$, $\phi = 0.5$, $\eta = 0.5$, $\theta = 0.15$, $\Delta\theta = 0.2$. p is the annual singularity probability; ξ is the extinction probability conditional on singularity. AI P/D ratios are numerically exact, computed by iterating the Euler equation over post-singularity states (see Appendix A). The ratio column reports $\mathrm{P/D}^{AI}/\mathrm{P/D}^{N}$.

even AI stocks lose value because the states in which they pay off become less likely.

The magnitudes are broadly suggestive. As Figure 1 shows, the AI-heavy NASDAQ has appreciated roughly 50% more than the S&P 500 since 2015. This comparison is imperfect: the NASDAQ is broader than "AI stocks," return differences partly reflect earnings growth rather than valuation multiples, and the S&P 500 itself has substantial AI exposure. Nonetheless, the pattern is consistent with a sustained valuation premium of the kind the model predicts, where AI stock P/D ratios are 1.3 to 2 times those of non-AI stocks across annual singularity probabilities in the 0.5–1% range.

4 Extensions: Market Incompleteness and the Singularity

The baseline model takes market incompleteness as given and studies its pricing implications. This section examines two further consequences: how incompleteness distorts the development of AI, and how government policy might address it.

4.1 Extension 1: Veto and efficient development

We augment the baseline model to allow a positive singularity. With probability p, a singularity occurs. Conditional on a non-extinction singularity (probability $1-\xi$), the singularity is either *positive* (probability q)—the household's share increases to $\alpha_{t+1} = \min(1, \alpha_t/\phi)$ and aggregate consumption jumps by $1+\eta$—or *negative* (probability $1-q$, as in the baseline), with the household's share falling to $\alpha_{t+1} = \phi\,\alpha_t$. We assume $q > 1/2$: the positive singularity is the more likely outcome.

We say AI development is *socially efficient in the Kaldor-Hicks sense*: the total surplus from a non-extinction singularity—summing over both the household and AI owners—is positive, so that the winners could in principle compensate the losers. This holds when $(1+\eta) > 1$, since aggregate consumption rises by a factor $1+\eta$ in both singularity outcomes, and the only question is how the gains are distributed.

The household can *veto* AI development at a cost $\kappa > 0$, representing a permanent fraction of consumption lost to the deadweight costs of intense government intervention needed to halt AI progress. If the household vetoes, it consumes $(1-\kappa)\alpha C_t$ each period with no singularity. We normalize extinction utility to zero; since CRRA utility is negative for all $c > 0$ when $\gamma > 1$, this makes the veto result conservative.

Under complete markets, the household can trade the restricted AI equity—founder stakes, pre-IPO shares, and other claims currently unavailable—so that it fully hedges displacement risk. Its consumption in both singularity states then equals its pre-singularity share of aggregate consumption: $\alpha(1+\eta)C_t(1+g)$.

Proposition 3 (Veto under incomplete markets). *(i) Under incomplete markets: there exists a threshold $\bar{\gamma}$ such that for all $\gamma > \bar{\gamma}$, the household vetoes AI development ($V_{veto} > V_{develop}$), even when development is socially efficient and the veto cost κ is positive.*

(ii) Under complete markets: the household never vetoes socially efficient AI development ($V^{CM}_{develop} > V_{veto}$).

Proof. (i) The household's expected one-period utility gain from a non-extinction singularity under incomplete markets is

$$\Delta u(\gamma) = q\, u(\alpha^{+}(1+\eta)) + (1-q)\, u(\phi\alpha(1+\eta)) - u(\alpha), \tag{7}$$

where $\alpha^{+} = \min(1, \alpha/\phi)$ and $u(c) = c^{1-\gamma}/(1-\gamma)$. As $\gamma \to \infty$, the negative-singularity term dominates because $\phi\alpha(1+\eta) < \alpha$ when $\phi(1+\eta) < 1$: the utility cost of the consumption drop grows without bound relative to the utility gain from the positive singularity. Formally, $\lim_{\gamma\to\infty} \Delta u(\gamma)/u(\alpha) = +\infty$ when $\phi(1+\eta) < 1$, so for γ large enough the household prefers the veto (at cost κ) to facing the singularity.

(ii) Under complete markets, the household's consumption in both singularity states is $\alpha(1+\eta)C_t(1+g)$. Its expected utility gain is $u(\alpha(1+\eta)) - u(\alpha)$, which is positive since $\eta > 0$. The household strictly prefers development for any $\gamma > 1$ and any κ small enough, and in particular for the same κ used in part (i). □

The veto result illustrates how market incompleteness can distort real decisions, not just asset prices. A numerical example sharpens the point. Using the baseline displacement parameters ($\phi = 0.5$, $\eta = 0.5$, $\xi = 5\%$) with $p = 1\%$, $\gamma = 10$, $\alpha = 0.70$, $q = 0.70$, and a veto cost $\kappa = 1\%$ of permanent consumption: the household vetoes under incomplete markets ($V_{\text{veto}} > V_{\text{develop}}$), even though the positive singularity is more than twice as likely as the negative one. The computation solves the infinite-horizon Bellman equation, treating the singularity as a one-shot event: each period the singularity occurs with probability p, and after realization the economy continues with deterministic growth at the new consumption share. Under complete markets with the same parameters, the household does not veto ($V^{CM}_{\text{develop}} > V_{\text{veto}}$), since it can trade claims on AI capital and consume $\alpha(1+\eta)C_t(1+g)$ in both singularity states. Allowing repeated singularities would reinforce the veto motive by compounding displacement risk.

Extinction risk interacts with this distortion: under our conservative normalization ($U_{\text{ext}} = 0$), higher ξ reduces the weight on non-extinction singularity states, which are the states driving the veto. With a more severe extinction penalty (as C. I. Jones (2024) argues is appropriate for bounded utility), higher ξ would amplify the veto incentive. This connects to debates about AI regulation: Proposition 3 implies that calls to slow or halt AI development may partly reflect the inability of most investors to share in the upside of AI progress—the veto is a rational response to unhedgeable downside risk, not merely technophobia.

C. I. Jones (2024) observes that attitudes toward AI risk depend on consumption levels: wealthier, more risk-averse agents value their current living standards highly and are less willing to accept existential gambles, while poorer agents with higher marginal utility

of consumption are more willing to take such risks. Our model offers a complementary channel through financial markets rather than existential risk. Under incomplete markets, households with larger consumption shares—more exposed to displacement—have stronger veto incentives, because the unhedgeable downside looms larger relative to the upside they cannot fully capture. This connects wealth heterogeneity to attitudes about AI development through the displacement channel, not just through differential valuations of life.

4.2 Extension 2: Government transfers

Extension 1 showed that market incompleteness can cause the household to veto socially efficient AI development. A natural question is whether policy can restore efficiency. The ideal solution—broader trading of AI capital—faces the same constraint Gârleanu, Kogan, and Panageas (2012) identify: much of the displacing capital does not yet exist. Government transfers offer an alternative, and the singularity setting gives them a distinctive advantage: if the productivity jump is large enough, the abundance of post-singularity resources can overwhelm the deadweight costs that normally make transfers ineffective. Transfers thus serve a dual role: they reduce AI stock valuations by cushioning displacement (a pricing effect) and, by attenuating the household's unhedgeable downside, they can eliminate the veto distortion (a real effect).

Gârleanu, Kogan, and Panageas (2012) discuss how intergenerational transfers can affect displacement risk, observing that under altruistic dynasties bequests can eliminate displacement and that such transfers do not alter the functional form of the stochastic discount factor in their framework. Building on their discussion, we study transfers in the specific setting of an AI singularity, where the key question is whether explosive output growth can overcome the deadweight costs that normally make transfers ineffective. Because the displacing equity may not yet exist—it belongs to future cohorts of innovators—direct trading is infeasible, and government transfers offer an alternative. But transfers ordinarily incur deadweight costs (waste, fraud, administrative burden) that scale with transfer size, making them unattractive.

We model this as follows. The government imposes a tax rate $\tau \in [0, 1)$ on AI owners' post-singularity consumption and transfers the proceeds to the household. Deadweight costs consume a fraction $\delta\tau$ of the transferred amount, where $\delta > 0$ governs the severity of waste. The household's post-transfer consumption in a non-extinction singularity state is:

$$c^H_{post} = \phi\,\alpha\,(1+\eta)\,C_t\,(1+g) + \tau\,(1-\delta\tau)\,(1-\phi\alpha)\,(1+\eta)\,C_t\,(1+g). \tag{8}$$

The first term is the household's displaced consumption. The second is the net transfer:

a fraction τ of the AI surplus, reduced by the deadweight cost $\delta\tau$. Note that $(1-\phi\alpha)$ represents the AI owners' share of post-singularity aggregate consumption; this expression uses the household's consumption share α rather than the AI dividend share θ, because the transfer is levied on the consumption allocation, not on publicly traded dividends.

To compute AI stock valuations under transfers, factor equation (8) as $c^H_{post} = \phi_{\text{eff}} \cdot \alpha \cdot (1+\eta)(1+g)C_t$, where

$$\phi_{\text{eff}} \;=\; \phi + \frac{\tau(1-\delta\tau)(1-\phi\alpha)}{\alpha} \tag{9}$$

is the effective displacement parameter. This follows directly from dividing (8) by $\alpha(1+\eta)(1+g)C_t$: the first term contributes ϕ and the transfer term contributes the remainder. Since ϕ_{eff} enters the SDF in the same way as ϕ, the P/D formula from Proposition 1 applies with ϕ replaced by ϕ_{eff}.

In standard settings (moderate η), the deadweight costs eat into the transfer and the household gains little. But in a singularity with large η, aggregate output grows enormously. The transfer base—AI owners' surplus—grows with η, while the deadweight cost rate is fixed. The ratio of post-transfer to pre-transfer household consumption in the singularity state is independent of the productivity jump η:

$$\frac{c^H_{post}}{c^H_{no\text{-}transfer}} = 1 + \frac{\tau(1-\delta\tau)(1-\phi\alpha)}{\phi\alpha}. \tag{10}$$

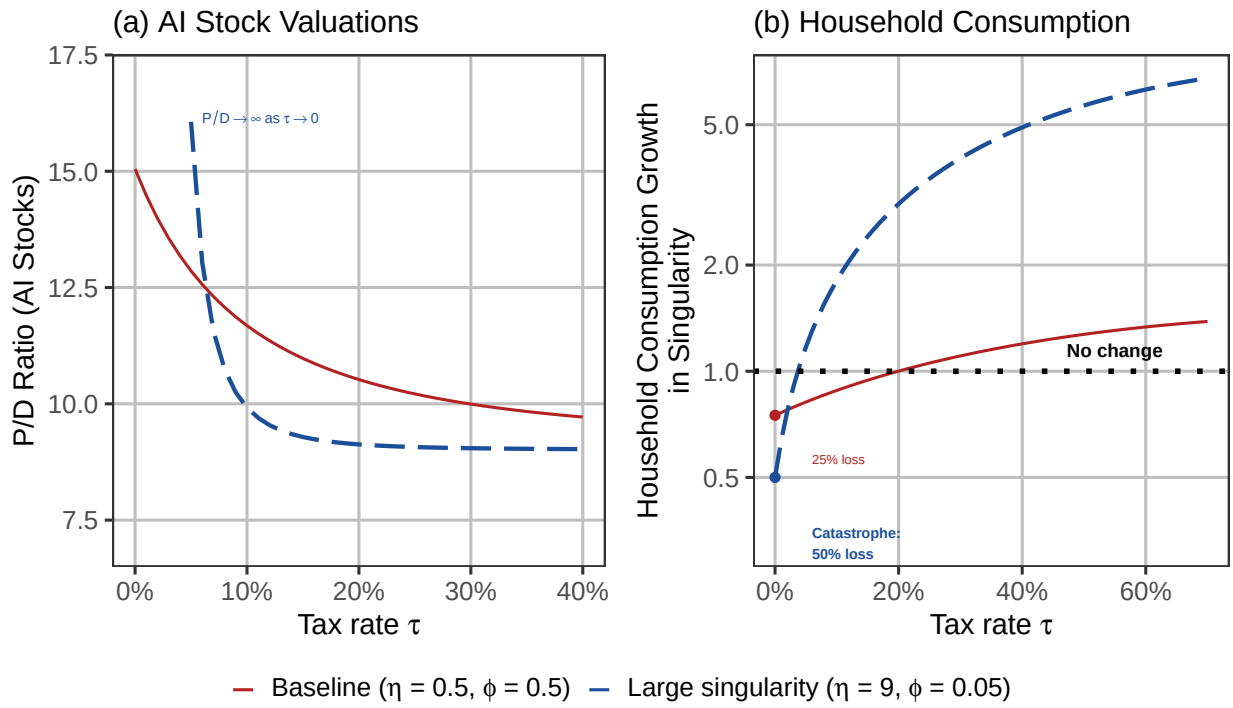
This ratio exceeds one whenever $\tau > 0$: transfers always improve the household's position in the singularity state, regardless of η. The economic content is in the *levels*: as η grows, both c^H_{post} and $c^H_{no\text{-}transfer}$ grow without bound, so even inefficient transfers deliver arbitrarily large consumption gains relative to the pre-singularity baseline.

Figure 2 illustrates with two panels, using the baseline risk aversion $\gamma = 4$, $\alpha = 0.70$, $p = 0.5\%$, and $\xi = 5\%$. The baseline uses $\eta = 0.5$ and $\phi = 0.5$; the large singularity uses $\eta = 9$ with $\phi = 0.05$, reflecting the intuition that a singularity powerful enough to produce ten-fold growth would also displace far more labor. The right panel shows that absent transfers ($\tau = 0$), the household faces a catastrophe: consumption halves under the large singularity ($\phi(1+\eta) = 0.5$) and falls by 25% under the baseline ($\phi(1+\eta) = 0.75$). As τ increases, the large singularity responds dramatically—the enormous output growth swamps the deadweight costs—while the baseline gains only modestly.

The left panel shows the corresponding effect on AI stock valuations: transfers reduce the hedge value of AI stocks, compressing P/D ratios. Under the large-singularity parameters, the P/D ratio is undefined at $\tau = 0$: the existence condition in Remark 1 is violated because the household's marginal utility in the singularity state ($\phi^{-\gamma} = 160{,}000$) is so extreme that

the pricing sum diverges. In economic terms, the hedge value of AI stocks becomes infinite—no finite price can compensate for the catastrophic displacement. As τ increases and transfers cushion the displacement, effective displacement falls, the existence condition is restored, and finite P/D ratios emerge. This discontinuity itself illustrates the severity of the incomplete-markets problem and the potential value of transfers.

Figure 2: Government Transfers and the Singularity. Panel (a) shows how transfers compress AI stock P/D ratios by reducing the household's hedging demand. Panel (b) shows the household's consumption change in the singularity state: absent transfers, the household faces a catastrophe (marked at $\tau = 0$), but under the large singularity, even modest tax rates produce enormous consumption gains as explosive output growth overwhelms deadweight costs. Parameters: $\alpha = 0.70$, $p = 0.5\%$, $\xi = 5\%$, $\delta = 0.5$.



The policy implication is nuanced. In normal times, government transfers are a blunt and wasteful tool for addressing displacement risk. But if an AI singularity produces the kind of explosive output growth modeled by C. I. Jones (2024) and examined critically by Nordhaus (2021), the calculus changes: the abundance of resources makes even inefficient redistribution effective. This suggests that contingent transfer policies—triggered by a singularity—may be worth designing in advance.

5 Conclusion

AI stocks trade at high valuations. We have argued that part of this premium reflects a hedging motive: investors use AI stocks to partially insure against an AI singularity that would displace their consumption. This mechanism requires market incompleteness—the inability to trade restricted AI equity—and is attenuated by extinction risk, which reduces the weight on the non-extinction states where the hedging channel operates. When markets are incomplete, risk-averse households may inefficiently block AI development, and government transfers, normally wasteful, can become effective if singularity-driven growth is large enough to overwhelm deadweight costs.

Our model is deliberately simple. It abstracts from continuous-time dynamics, heterogeneous beliefs, production-side details, and many other features that would enrich the analysis. The goal is not to provide a definitive account of AI stock valuations but to highlight a specific channel—hedging against displacement under incomplete markets—that connects asset pricing theory to the distinctive features of the AI singularity.

A Proof of Proposition 1

The household's Euler equation for any asset j with price P_t^j and dividend D_t^j is:

$$P_t^j = \mathbb{E}_t \left[\beta \left(\frac{c_{t+1}^H}{c_t^H} \right)^{-\gamma} (P_{t+1}^j + D_{t+1}^j) \right]. \tag{11}$$

Consider the AI stock. Write the price-dividend ratio as $v^{AI} = P^{AI}/D^{AI}$, which is constant in the stationary equilibrium before any singularity has occurred. The household's consumption growth c_{t+1}^H/c_t^H takes three values:

- No singularity (prob $1-p$): $c_{t+1}^H/c_t^H = 1+g$, and $D_{t+1}^{AI}/D_t^{AI} = 1+g$.
- Non-extinction singularity (prob $p(1-\xi)$): $c_{t+1}^H/c_t^H = \phi(1+g)(1+\eta)$, and $D_{t+1}^{AI}/D_t^{AI} = \Gamma^{AI}(1+g)$.
- Extinction (prob $p\xi$): $c_{t+1}^H = 0$, so the payoff is zero.

Substituting into the Euler equation with $P_t^{AI} = v^{AI} D_t^{AI}$:

$$\begin{aligned} v^{AI} D_t^{AI} = \beta(1+g)^{-\gamma} \Big[& (1-p)(1+g)(v^{AI}+1) D_t^{AI} \\ & + p(1-\xi)[\phi(1+\eta)]^{-\gamma}(1+g)\, \Gamma^{AI}(v^{AI}+1) D_t^{AI} \Big]. \end{aligned} \tag{12}$$

Note that after a non-extinction singularity the economy resets with new parameters (α', θ'), and the *new* P/D ratio in the post-singularity state will generally differ because Γ^{AI} depends on θ. (The non-AI growth factor $\Gamma^N = (1 - \Delta\theta)(1 + \eta)$ is θ-independent, so the non-AI closed form is exact.) For tractability, we approximate the post-singularity AI P/D ratio by v^{AI}. This approximation becomes exact as $\Delta\theta \to 0$. For the numerically exact values reported in Table 1, we solve the Euler equation by backward recursion over the chain $\theta_0, \theta_1 = \theta_0 + \Delta\theta(1 - \theta_0), \theta_2, \ldots$, starting from a terminal state where θ is close to one and the approximation error vanishes. Dividing by D_t^{AI} and solving for v^{AI}:

$$v^{AI} = \frac{\beta(1+g)^{1-\gamma}\left[(1-p) + p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\Gamma^{AI}\right]}{1 - \beta(1+g)^{1-\gamma}\left[(1-p) + p(1-\xi)(1+\eta)^{-\gamma}\phi^{-\gamma}\Gamma^{AI}\right]}. \tag{13}$$

This can be rewritten as equation (4). The derivation for non-AI stocks is identical, replacing Γ^{AI} with Γ^N.

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